

Course Code: ECON-415**Title: Development Economics-II****Credit Hours: 03****Prerequisite: Development Economics-I****Course Objectives:**

This is the second course in the development economics stream. This course will primarily deal with the major sectors in and the macroeconomics of development. A predominant portion of the course covers the essential theoretical and historical elements of development and international economics. Some specific issues currently debated in the development economics field will also be discussed.

Learning Outcomes:**Course Contents:**

Agriculture and Development	Agricultural Growth: Past Progress and Current Challenges, The Structure of Agrarian Systems in the Developing World, The Important Role of Women, The Transition from Peasant Subsistence to Specialized Commercial Farming, The Economics of Sharecropping and Interlocking Factor Markets, The Transition to Mixed or Diversified Farming, From Divergence to Specialization: Modern Commercial Farming.
Industry and Development	
The Environment and Development	Environment and Development: The Basic Issues, Rural Development and the Environment: A Tale of Two Villages, Global Warming and Climate Change: Scope, Mitigation, and Adaptation, Economic Models of Environment Issues, Urban Development and the Environment, Policy Options in Developing and Developed Countries.
Trade Policies	Five Basic Questions about Trade and Development, Demand Elasticities and Export Earnings Instability, The Terms of Trade and the Prebisch-Singer Hypothesis, The Traditional Theory of International Trade (Comparative Advantage, Relative Factor Endowments and International Specialization: The Neoclassical Model, Trade Theory and Development: The Traditional Arguments), Traditional Trade Strategies for Development: Export Promotion versus Import Substitution, The Industrialization Strategy Approach to Export Policy.

Balance of Payments, Debt & Macroeconomic Stabilization	The Balance of Payments Account, The Issue of Payments Deficits, Accumulation of Debt and Emergence of the Debt Crisis, Attempts at Alleviation: Macroeconomic Instability, Classic IMF Stabilization Policies, and Their Critics, "Odious Debt" and Its Prevention, Resolution of 1980s-1990s Debt Crises and Continued Vulnerabilities, The Global Financial Crisis and the Developing Countries.
Foreign Finance, Investment, and Aid	The International Flow of Financial Resources, Private Foreign Direct Investment and the Multinational, Private Foreign Investment: Some Pros and Cons for Development, Private Portfolio Investment: Benefits and Risks, The Role and Growth of Remittances, Foreign Aid: The Development Assistance Debate, Conceptual and Measurement Problems, Amounts and Allocations: Public Aid, Why Donors Give Aid, Why Recipient Countries Accept Aid, The Role of Nongovernmental Organizations in Aid, The Effects of Aid.

Teaching Methodology:

- To deliver lectures on topics included in course outline
- To require each student to solve independent assignments on topics included in the course.

Evaluation Criteria:

Evaluation Method	Total Percentage
Quizzes/Assignments	25%
Mid-Term Exam	35%
Final-Term Exam	40%

Recommended Books:

- Todaro, Michael P. and Stephen C. Smith, Economic Development, 12th Edition, Pearson 2015.
- Perkins Dwight H., Steven Radelet, and David L. Lindauer, Economics of Development, 7th Edition, New York, W. W. Norton, 2006.
- Hirshman A. O., (1960). Strategy of Economic Development, Yale University, Press.
- Jones H. G., An Introduction to Modern Theories of Economic Growth, (Latest Edition), McGraw Hills.
- Debraj Ray, Development Economics.
- David N. Weil, Development Economics, (Latest Edition).

Research Articles (Teach at least 2 research articles from given list or of instructor's choice)

- Kniivilä, M., 2007. Industrial development and economic growth: Implications for poverty reduction and income inequality. Industrial development for the 21st